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Annexure 3



VALUATION REPORT

In relation to the proposed Amalgamation of

WIKI KIDS LIMITED

WITH

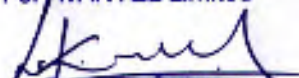
AVANTEL LIMITED



M/s. Nekkanti Srinivasu & co., Chartered Accountants
Flat no.604, Kanchajunga Apartments, D block, Aditya Enclave, Ameerpet, Hyderabad-38

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For AVANTEL Limited


Company Secretary

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SECTION - I VALUATION SUMMARY

The Engagement:	We, M/s.NekkantiSrinivasu & Co., Chartered Accountants, Hyderabad have been appointed by M/s Avantel Limited for carrying out valuation in relation to the proposed amalgamation of M/s Wikikids Limited with Avantel Limited.As per the Engagement of valuation, we issued this valuation report, dated 22/08/2016 summarized herein, including the appendices. This Valuation Report is subject to the Statement of assumptions and limiting conditions contained in Appendix A..
Subject of Valuation:	Equity Shares of M/s WIKI KIDS LIMITED (<i>Transferor Company</i>) and Equity Shares of M/s AVANTEL LIMITED (<i>Transferee Company</i>).
Purpose of Valuation :	The purpose of this valuation is to determine the value of each equity share of Transferor and Transferee company to arrive at the share exchange ratio for the proposed amalgamation of M/s WIKI KIDS LIMITED (<i>Transferor Company</i>) and M/s AVANTEL LIMITED (<i>Transferee Company</i>).
Business Activity :	The transferor Company is engaged in the business of Providing E-Learning education to the K8- K12 students and transferee company engaged in Design, Development and Manufacture of RF/microwave subsystems, Digital Radios and Satellite communication systems, Defence Electronic Equipment as well as software products and services .
Premise of Value:	The Companies are valued on "going-concern" basis.
Standard of Value:	Fair value
Basis of Value :	Transferor Company - Discounted Cash Flow Method Transferee Company - Market Price Method
Valuation Date :	April 1 st , 2016

Value Conclusion:

The per share Value of M/s **WIKI KIDS LIMITED** (*Transferor Company*) as on the valuation date is **Rs. 42.89** per equity share of face value of Rs.10/- each.

The per share Value of M/s **AVANTEL LIMITED** (*Transferee Company*) as on the valuation date is approximately **Rs.123.98/-** per equity share of face value of Rs.10/- each.

**Share exchange ratio
(Swap ratio)**

The share exchange ratio between M/s **WIKI KIDS LIMITED** and M/s **AVANTEL LIMITED** as per respective business valuation has been arrived at **2.89:1** i.e. Allotment of one Equity share of M/s **AVANTEL LIMITED** for every **2.89** Equity shares held in M/s **WIKI KIDS LIMITED** is considered to be fair and equitable in consideration of the proposed amalgamation.

SECTION- II APPOINTMENT FOR DETERMINATION OF
VALUE & EXCHANGE RATIO

We, M/s. Nekkanti Srinivasu & Co., Chartered Accountants, Hyderabad, have been appointed by M/s. AVANTEL LIMITED to undertake the valuation to determine fair value of equity shares of M/s. AVANTEL LIMITED and M/s. WIKI KIDS LIMITED in relation to the proposed amalgamation of M/s. WIKI KIDS LIMITED (Transferor Company) with M/s. AVANTEL LIMITED (Transferee Company) as a prelude to business consolidation and also to determine the share exchange ratio for the proposed amalgamation on the basis of valuation of equity shares of the Transferee and Transferor companies. The proposed amalgamation is in accordance with the Scheme of Amalgamation presented under Sections 391 to 394 and other applicable provisions of the Companies Act, 1956 and/or Sections 230 to 233 and other relevant provisions of the Companies Act, 2013, to the extent applicable. In consideration for the amalgamation, M/s AVANTEL LIMITED will issue equity shares to the Shareholders of M/s. WIKI KIDS LIMITED on the basis of the share exchange ratio, which is determined as per this valuation report.

The appointed date for this amalgamation has been kept as 1st day of April, 2016 and accordingly, the valuation is carried as on 1st April, 2016.

SCOPE OF ENGAGEMENT

While performing the valuation exercise, an examination and analysis has been carried out in respect of following aspects of the activities, of the companies such as:

- Background of the companies
- Historical performance and financial position based on Audited Financial Statements
- Competitive positioning in the industry and Analysis of Comparable Companies.
- Strengths, opportunities available and weaknesses of the entities;
- Forecasts of the operating performance;
- Intangible assets owned by the company

Considering the above, we have carried out the valuation of the companies and suggested a share exchange ratio for the purpose of the proposed amalgamation on the basis of fair value of the equity shares of the Transferor and Transferee Companies.

SECTION- III BACKGROUND OF THE COMPANIES INVOLVED UNDER
THIS AMALGAMATION

AVANTEL LIMITED (TRANSFeree COMPANY)

M/s. AVANTEL LIMITED (Transferee Company) was incorporated by Dr.Abburi Vidya Sagar on 30th, May 1990, under the Companies Act, 1956. CIN of the Company is L72200AP1990PLC011334. The Registered office of the Company is situated at SyNo.141, Plot No.47/P, APIIC Industrial Park, Gambheeram (V), Anandapuram (M), Vishakhapatnam, Andhra Pradesh- 531163, India and the Corporate office is situated at Plot No.16, Sector-III, HUDA Techno Enclave, Opp. K.Rabeja IT Park, Madhapur, Hyderabad - 500081, Telangana, India.

Avantel Limited is a Listed Company having its shares listed and traded on BSE Limited. The scrip code of the Company is 532406.

Avantel Limited is a technology driven ISO 9001:2008, AS9100C & ISO 27001:2013 certified company. Avantel designed and developed various first of its kind, customized wireless/Satcom products and solutions to meet the special requirements of Indian Defence Services.

Avantel's unique value proposition is in integration of wireless, embedded firmware and software technologies to create innovative solutions. Avantel could successfully develop and supply Mobile Satellite Systems to Indian Navy and various other departments of Govt. of India. Avantel specialises in RF/Microwave subsystems, Digital Radios and Satellite communication systems, besides offering software solutions and services to Indian Navy facilitating network centric communications for its fleet of ships, aircrafts, helicopters and submarines. These systems work on various platforms such as Ships, Aircrafts, Trains, Vehicles and Fishing vessels. Avantel has been certified by CEMILAC for Design and Development of products and software for Airborne Systems.

The company derives its strength in view of its :

- Full pledged In-house R&D wing duly recognized by the Department of Scientific and Industrial Research, GOI to meet unique and special requirements of Defence Services, GOI.
- Strategic alliances with national institutions and research establishments in India like

Space Applications Centre (SAC), ISRO and DRDO Laboratories.

- CEMILAC approval for Design and Development of products and software for Airborne Systems.

Further the company was bestowed with following honours and awards

- **"Excellence in Indigenous Development"** by Society of Indian Aerospace Technologies & Industries (SIATI), Bangalore in September 2014.
- **"SME Excellence Award in innovation - for Electronic Goods & Component Sector"** by Karnataka Small & Medium Business Owner's Association (KSMBOA) in July 2015.
- **"IEI Industry Excellence Award 2015"** by the Institute of Engineers (India) in the 30th Indian Engineering Congress held at Guwahati in Dec 2015.
- **"India SME 100 Awards"** for the year 2016 by India SME forum.

BOARD OF DIRECTORS :

As on the date of Valuation, the Board of the company comprises of Eight Directors of which four are Independent Directors, two Executive Directors and two Non – Executive Directors. The details of the Directors as on 1st April, 2016 are as follows:

Sl. No.	Name	Designation
1	Dr Abburi Vidyasagar	Chairman & Managing Director
2	Abburi Sarada	Whole-time Director
3	Subramanaiya Balakrishnan	Non-Executive Director
4	Pidikiti Raghu Prasad	Non-Executive Director
5	Yalamanchili Kishore	Independent Director
6	Myneni Narayana Rao	Independent Director
7	Naveen Nandigam	Independent Director
8	Elluru BalaVenkata Ramana Gupta	Independent Director

Dr. Abburi Vidyasagar

Dr. Abburi Vidyasagar is a postgraduate in Engineering and doctorate in Management. He did his B.Tech from JNTU, Kakinada, Andhra Pradesh from 1977 to 1981 and also did his Masters in Engineering from IIT, Kharagpur from 1981 to 1983. He also did Master of Business Administration from Osmania University, Hyderabad, during the year 1989-1991. He also received Doctorate from JNTU, Hyderabad for his outstanding work on E-Learning.

Dr. Abburi Vidyasagar promoted Avantel Limited in 1990 and dedicated his energies for the past 26 years in building the enterprise. Avantel now has world-class infrastructure for design, manufacture and development of Wireless Products for Defence, Satellite Communications and Export Markets.

Following are few of his career achievements:

- Designed Circuits and Micro Electronic Modules for Fighter Aircrafts and Electronic Warfare Systems.
- Designed Communications Equipment for Ground-to-Air and Air-to-Air Communications in Fighter Aircrafts.
- Project Appraisal for Techno-Economic feasibility of Technology driven SMEs in the areas of Electronics, Telecom, information Technology and Medical Services, Software Development and Project Management.
- Dr. A. Vidyasagar is the Chairman and Managing Director of M/s. Avantel Limited.

Abburi Sarada

Abburi Sarada is a graduate in Communication and Journalism from Padmavati University and a Post graduate in Business Administration from Madurai Kamraj University. She has been associated with the company since 1992 and was looking after Administration and Accounts department.

She is presently serving the Company as the Whole-time Director and Chief Financial Officer of the Company.

Maj. Gen (Retd) S. Balakrishnan, VSM

Major General Rtd. S. Balakrishnan, VSM is an engineering graduate of 1959 batch. Later, in 1977, he did his M.Tech with distinction. He did PTSC from IAT, Pune with

honors. Further he did PGDIE&M from JNTU, Hyderabad. He is a fellow of Indian Institute of Engineers (India).

Balakrishnan, VSM belongs to the Corps of Electrical and Mechanical Engineers (EME) of the Indian Army and was responsible to maintain all equipment/systems like Wireless sets, Radars, Vehicles, Instruments and Armaments held by the Army.

During his career he received twice the Commendation of the Chief of Army Staff and the distinguished Vishisht Seva Medal (VSM) from the President of India in 1993.

He is a Non - Executive Director of the Company.

Pidikiti Raghu Prasad

Pidikiti Raghu Prasad is a graduate in Civil Engineering from JNTU College of Engineering, Kakinada in the year 1979.

He has been in the construction activity since 1980 through his association as Managing Partner of M/S West Coast Construction Company.

During 1994, he promoted M/s. Delta Construction Systems Limited (later name changed to D C S Limited in 2013). The company is into contract works in the fields of power and irrigation sectors including construction of tunnels shafts power houses and lift irrigation projects industrial projects like captive power plant and sub-station works, urban infrastructure projects like metro works in Delhi metro and Chennai Metro underground works.

He is a Non - Executive Director of the Company.

Yalamanchili Kishore

Yalamanchili Kishore is a graduate in Electronics and Communication Engineering and also M. Tech in Controls and Instrumentation from IIT, Bombay.

He has around 29 years of experience spanning all facets of software products delivery – Presales, Consulting, Implementation, Engineering and support – to global customers. Currently, he is associated with SEEC Technologies Asia Pvt. Ltd., Hyderabad as a Sr. Vice President – Product Development.

Some of the notable achievements of Y.Kishore are successful setting up of off-shore product development team for SEEC Composite Application Suite and delivering quality products on time using software offshore delivery model. He was also involved in setting up of software engineering practices, monitoring and improvement of quality process.

He is an Independent Director of the Company.

Myneni Narayana Rao

Myneni Narayana Rao, is graduate in Mechanical Engineering , with 38 years of rich experience in making, shaping and treating of exotic ferrous and non-ferrous metals such as Special Steels, Superalloys and Anisotropic alloys of Zirconium and Titanium, has remarkably contributed to the applications of strategic industries of Atomic Energy, Space, Aerospace, Defence and Energy sectors. He is former Chairman and Managing Director of M/s. Mishra Dhatu Nigam Limited (MIDHANI).

Under his leadership and guidance, the Sales of the Midhani has increased by four times and made the Company strong by adding substantial reserves and the Company has been conferred with Mini-Ratna by the Government of India and won many laurels by the Government and Ministry of Defence

He is instrumental in identifying the country's requirement of critical/strategic materials and had drawn a plan for immediate , short and long term particularly for strategic sectors -Defence Space and Nuclear. Due to his association with the sectors and knowing the importance, he has taken up the development of Al-Li alloys and produced on a pilot scale to the aero level quality. In association with National Aeronautical Laboratories (NAL), he has taken up developing /production /qualifying of carbon fibre for composites- material of the future.

He is a Member on the following :

- Board of **Nuclear Fuel Complex/Dept of Atomic Energy**,
- Governing Council of **ARCI (International Advanced Research Centre for Power Metallurgy and New Materials)**,
- Research Council in **Defense Metallurgical Research Laboratories (DMRL)**
- Board of **A.P. Gas Power Corporation Ltd.**

He also served as

- Chairman of Society of Defense Technologists (**SODET**).
- President of Indian Institute of Metals (**IIM**).

Mr Rao was bestowed with

- **YOUNG SCIENTIST** award (1989),
- **ENGINEER OF THE YEAR** award (1991),
- **METALLURGIST OF THE YEAR** award (2006).
- "**CEO WITH HR ORIENTATION**" in (2013)
- Fellow of Indian National Academy of Engineering (**INAE**) and

- Fellow of Andhra Pradesh state Academy of Sciences (APAS).

Myneni Narayana Rao is an Independent Director of the Company.

Nandigam Naveen

Nandigam Naveen is a fellow member of Institute of Chartered Accountants of India (ICAI) and has been in practice since 1990.

He has been in education field since 1993 through his venture DIGVIJAY Coaching Center at Hyderabad to provide professional coaching to students pursuing CA, CS, CWA courses. Over the past 21 years, his committed passion with his team has produced more than 1000 CAs, CSs and CWAs in India.

He is an Independent Director of the Company.

Elluru BalaVenkata Ramana Gupta

Elluru Bala Venkata Ramana Gupta is a graduate both in Science and Economics.

Gupta is a corporate treasury professional with 20 years of experience in the management of largest treasury in the country. He started his career as a deputy Manager in State Bank of Hyderabad in 1980 and later he joined in Reliance Industries Limited as a Senior Forex Manager. He worked as group treasurer of Reliance Industries Limited in 2009 to 2013 and treasurer at Reliance Jio Infocom Limited from April 2013 to October 2015. He implemented integrated global best risk management policies and systems across asset, liabilities and derivative segments spanning all financial risks.

Elluru Bala Venkata Ramana Gupta is an expert in the areas of Corporate Finance, Corporate Treasury, Financial Risk Management and Banking.

He is an Independent Director of the Company.

Capital Structure of M/s. AVANTEL LIMITED as on April 1, 2016

Particulars	Amount (in Rs.)
Authorized Share Capital	7,00,00,000
70,00,000 Equity Shares of Rs.10/- each	
Issued, Subscribed and Paid Up Share Capital	4,05,44,930
40,54,493 Equity Shares of Rs.10/- each- 4,05,44,930	
Add: Forfeited shares (Amount originally paid up) – 6000	6000
Total	4,05,50,930

SHAREHOLDING PATTERN ON 1st April, 2016:

Name of shareholder	Total No. of shares held	Shareholding as a % of total No. of shares
Promoter and Promoters Group		
Dr. Abburi Vidya Sagar	8,06,720	19.90
Abburi Sailaja	2,22,479	5.49
Abburi Sidhartha Sagar	2,74,000	6.76
Abburi Sarada	2,19,449	5.41
AbburiVenkateswara Rao	36,620	0.90
Sub Total	15,59,268	38.46
Held by PUBLIC	24,95,225	61.54
Total	40,54,493	100.00

FINANCIAL SNAPSHOT of AVANTEL LIMITED FOR PAST 3 years

Particulars (Year Ending)	(Rs. In Lakhs)		
	31.3.2016	31.3.2015	31.3.2014
Revenue From operations (Net)	2,503.41	2,607.75	1,318.92
<i>Total Expenses</i>	2,437.95	2,486.41	1,434.10
<i>Profit before tax</i>	65.46	121.34	-115.18
<i>Net profit after tax</i>	59.35	89.33	-103.37
<i>Net worth represented by</i>			
(a) Share Capital	405.51	405.51	418.36
(b) Reserves and Surplus	1,568.68	1,566.07	1,652.60
Total Net worth	1974.19	1971.58	2070.96

WIKI KIDS LIMITED (TRANSFEROR COMPANY)

WIKI KIDS LIMITED, ('Transferor Company') was incorporated on October 15th 2004. The CIN of the Company is U72200AP2004PLC044437. The registered office of the Company is situated at Sy No.141, Plot No.47/P, APIIC Industrial Park Gambheeram (Village), Anandapuram Vishakhapatnam District Andhra Pradesh – 531163, India

- WIKI KIDS LIMITED developed an E-Learning products/platform called "Wonderwhizkids" for K8 to K+12 students. It offers an innovative, inquiry based, interactive learning environment to acquire knowledge, analytical skills and problem solving skills through Multimedia and e-Learning technologies.
- Wiki kids is keen to popularize this learning platform for larger use by students, teachers, and school managements, thus championing the cause of better education.
- Woderwhizkids facilitates "learning for life" by providing access to engaging and enriching educational content to students, and teachers. WIKI KIDS enables the students enjoy the process of learning and acquire the knowledge at the fundamental level and ensures this with emphasis on learning basic concepts and application of concepts in day-to-day life.
- Wonderwhizkids (WWK) kindles the light within through a Simple, Motivating, Interactive, Learner-centric Environment (SMILE).SMILE integrates the cognitive, constructivist, experiential and motivational learning theories to create a learning environment that empowers learners and teachers. It transforms learning and teaching by harnessing technology to implement established learning theories and models with creativity and innovation to maximize the knowledge capital and the access to it through collaboration.
- Wonderwhizkids is like a Wikipedia for schools with instruction design anchored in learning theories and principles. Students can be guided through the learning process and content with appropriate, self-directed navigation and interactive participation for a satisfying, engaging and long lasting learning experience. Students, teachers, subject matter experts and parents can contribute and are encouraged to express their opinions and suggest actions for improvement to enrich the content and make it more useful.

Wonderwhizkids has 10,000 plus pages of content starting with - Learning objectives, visually rich content with relevant examples and real life applications, practice tests, worked out examples, key terms, summary, concept maps, worksheets and content for HOTS (Higher order thinking skills) which includes free response questions with solutions, crossword, questionnaire evaluating the knowledge, analysis and application skills of the student.

Subjects offered

Wonderwhizkids covers following subjects for EAMCET, NEET, JEE (Main) entrance exams.

Subjects	Products offered
PHYSICS	• Mechanics, • Thermal Physics • Waves and Optics • Electricity and Magnetism • Electromagnetism • Modern Physics
CHEMISTRY	• Structure of Matter • States of Matter • Chemical Reactions • Metals and Non-metals • Organic Chemistry
BIOLOGY	• Biochemistry • Cell Biology • Genetics • Evolutionary Biology • Plant form and Function • Animal Form and Function • Human Physiology
MATHEMATICS	• Arithmetic • Algebra • Geometry • Trigonometry • Calculus • Statistics

Wonderwhizkids contains

- 18,000+ Mathematics question with solutions.
- 12,000+ Physics questions with answers and solved numerical problems.
- 10,000+ Chemistry questions with answers and solved numerical problems.
- 10,000+ Biology questions with answers.
- 63,000+ multiple choices questions with solutions or detailed explanations.

According to management of Wiki Kids Limited the efforts required in terms of Man Months to develop the similar content along with the **Analytics** and **Algorithms** are as under :

Complexity per page	Subject Matter Experts	S/W Developers	Multimedia Team	Testing & Publishing	Total Effort In Months
Easy	114	68	136	23	341
Medium	154	220	183	220	777
Hard	182	109	218	27	536
Complex	198	330	248	220	996
Total	648	727	785	490	2,650

Man Month equals 176 hours of work by a professional

(Source: Wiki Kids Limited)

Trade marks of Wikikids Limited

Registered Trademarks:

Wikikids Limited has the following registered trade marks

SL No	Trademark	Trademark No	Classes
1	Wonder WhizKids - Wiki for kids!	1927393	9
2	Wonder WhizKids - Wiki for kids!	1927394	41
3	Wonder WhizKids - Wiki for kids!	1927395	42
4	WikiKids - sets you free!	1927400	41
5	WikiKids - sets you free!	1927401	42
6	WikiKids - sets you free!	1927402	9

Trade Marks Applied:

Wikikids Limited has applied for the following Trademarks which are pending for approval for the competent authority

SL No	Trademark	Trademark No	Classes
1	Wonder WhizKids	2386391	9
2	Wonder WhizKids	2386392	41
3	Wonder WhizKids	2386393	42
4	WONDER WHIZKIDS- DO WELL IN SCHOOL AND BEYOND	2649927	9
5	WONDER WHIZKIDS- DO WELL IN SCHOOL AND BEYOND	2649928	41
6	WONDER WHIZKIDS- DO WELL IN SCHOOL AND BEYOND	2649929	42

Copyrights

M/s Wikikids Limited has applied for copyright registration of computer software titled "Wonderwhizkids Educational Portal" for its portal wonderwhizkids in the year 2010. The company is expecting approval of copyright in a short period.

BORD OF DIRECTORS

The Board of WIKI KIDS LIMITED consists of 4 directors

SL No.	Name	Designation
1	Kosaraju Ramesh	Director
2	Abburi Sarada	Director
3	Abburi Siddhartha Sagar	Director
4	Abburi Sailaja	Director

Kosaraju Ramesh

Kosaraju Ramesh is a graduate in electronics and communication branch of engineering from JNTU, Kakinada in the year 1980. He did his Master's from IIT-Kharagpur in (1982). He started his career as a Lecturer and then became a Reader at Bapatla Engineering

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College. Currently at Wikikids Limited, he is involved in content editing, development and enhancement.

Abburi Sarada

Abburi Sarada is a graduate in Communication and Journalism from Padmavati University and Post graduate in Business Administration from Madhurai Kamraj University. She is looking after day to day administration and accounting activities of the company.

Abburi Siddhartha Sagar

Abburi Siddhartha Sagar is an MBA graduate from WP Carey, Arizona State University and a Masters Degree in Computer Science from, Arizona State University. He is currently employed by Axway Inc., Phoenix in the role of Solution architect for Managed File Transfer / B2Bi suite of products. His job profile is as under:

- Works with presales teams in architecting and performing complex POC assignments using Secure Transport (LEC) Large Enterprise Clustering and B2Bi including product installations, configurations and articulating features.
- Builds reference environment used by presales and professional services.
- Conducts solution assessments and provide recommendations.
- Conducts Technical workshops/webinars for presales and professional services.
- Crafts a solution, vision and evangelize how product addresses critical needs.
- Participates as a technical expert on B2Bi.
- Administrator for Amazon Cloud and Virtual Environments under Axway Sales Solution Center.
- Prepares and delivers product/solution demos and knowledge management.

Abburi Sailaja

Abburi Sailaja holds a Masters Degree in Computer Science (Human-Computer Interaction) from Arizona State University. She was employed by Clairvoyant Llc, Chandler, AZ in the role of UX Designer. She was the Lead Designer for about 8 projects and was responsible for

- Creating personas, wireframes, visual designs and interactive prototypes

- Providing design support through the development stage.
- Assisting in building an internal Design Team charged with providing innovative design solutions.
- workflows, wire-frames, visual designs, brand guidelines, interactive prototypes and design support.
- Strategizing, branding and social media marketing.

She is presently employed with Pyxl Inc, Phoenix, Arizona as User Experience Designer. Pyxl builds digital experiences – from enterprise – class – websites, mobile and web applications, to integrated inbound marketing and communication programs.

Capital Structure as on April 1st, 2016

Particulars	Amount (in Rs.)
Authorized Share Capital	2,00,00,000
20,00,000 Equity Shares of Rs.10/- each	
Issued, Subscribed and Paid Up Share Capital	1,17,00,000
11,70,000 Equity Shares of Rs 10/- each	

Share holding Pattern as on 1st April 2016

Sl No	Name of the shareholder	No. of Equity shares	Percentage
1	Dr. Abburi. Vidyasagar	7,79,300	66.61%
2	Abburi. Siddhartha Sagar	3,10,000	26.50%
3	Abburi Sarada	40,100	3.43%
4	Abburi Sailaja	40,000	3.42%
5	N Srinivasa Rao	100	0.01%
6	P Balabhaskara Rao	100	0.01%
7	K Pushpa Bharathi	100	0.01%
8	S Balakrishnan	100	0.01%
9	K Ramesh	100	0.01%
10	M Venkat Rao	100	0.01%
	Total	11,70,000	100.00

FINANCIAL POSITION FOR PAST 3 years

Particulars(for the year ending)	Rs. In Lakhs		
	31.3.2016	31.3.2015	31.3.2014
I. EQUITY AND LIABILITIES			
(1) Shareholders Funds			
(a) Share Capital	117.00	117.00	75.50
(b) Current Liabilities	0.14	0.60	0.75
Total	117.14	117.60	76.25
II. ASSETS			
(1) Non-current assets			
(a) Fixed Assets			
(b) Other non-current assets	97.38	84.45	75.02
(2) Current Assets			
(a) Cash and cash equivalents	1.74	32.87	0.95
(b) Short -term loans and advances	18.02	0.28	0.28
Total	117.14	117.60	76.25

The company informed that they did not prepare any Profit and Loss Account till the financial year 2015-16 as the company was in the development phase of its E – Learning platform “Wonderwhiz Kids”. The company further informed that the product is ready for commercial launch and is presently hosted on Amazon Server. Thus, the portal is poised to generate revenues.

SECTION IV-INDUSTRY ANALYSIS AND OVERVIEW

PART – I ECONOMY AND DEFENCE INDUSTRY OVERVIEW

INDIAN ECONOMY

India has emerged as the fastest growing major economy in the world as per the Central Statistics Organisation (CSO) and International Monetary Fund (IMF).

India was ranked the highest globally in terms of consumer confidence during October-December quarter of 2015.

According to IMF World Economic Outlook Update (January 2016), Indian economy is expected to grow at 7-7.75 per cent during FY 2016-17, despite the uncertainties in the global market.

Government Initiatives

- Government initiatives like Make in India and Digital India are expected to increase the purchasing power of an average Indian consumer, which would further boost demand.
- The Ministry of Human Resource Development recently launched Kendriya Vidyalaya Sangathan's (KVS) e-initiative 'KV Shaala Darpan' aimed at providing information about students electronically on a single platform. The program is a step towards realising Digital India.

Defence Industry Overview

Government of India while presenting the Union budget 2016-17 to the Parliament on February 29, 2016 set aside Rs.3,40,921.98 Crores (US\$ 52.20 Billion) for the Ministry of Defence (MoD). There are a slew of tax-related measures to incentivize the domestic industry. The withdrawal of tax benefits extended to direct imports by the MOD would provide a much needed level-playing field to the domestic industry as a whole vis-à-vis the foreign companies. Similarly, the withdrawal of tax benefits enjoyed by the contractors of the government owned entities would provide the level-playing field to the Indian private sector vis-à-vis the Defence Public sector undertakings (DPSUs) and OFs.

Source: (http://www.idsa.in/issuebrief/pay-and-perk-india-defence-budget-2016-17ikbehera_030315)

MoD, Government of India has unveiled the new Defence Procurement Policy "DPP – 2016" during the Defence EXPO-2016. The new policy envisages to achieve the following;

- Self-reliance by encouraging indigenous design, development and manufacturing.
- Enhancing role of MSMEs in Defence sector.
- Cutting down the time frames for procurement activities
- Institutionalising robust mechanisms to monitor for probity at various stages of procurement process.

A new procurement category BUY (Indian-IDDM) has been included which will be given the top priority for all future procurements.

In view of the above and based on its past experience in the defence Industry and Unique technological advantage M/S Avantel Limited is capable of securing orders in future from the Ministry of Defence and Other related Govt. Departments

PART – II EDUCATION AND E - LEARNING INDUSTRY

Education Market

India holds an important place in the global education industry. The country has more than 1.4 Million schools, with over 260 Million students. There are over 712 universities and 48116 colleges of different categories in the country India has one of the largest higher education systems in the world. As of now, the Indian education market is worth US\$ 100 Billion. Currently, School education contributes 59.7% of the market size. There are around of 69 lakhs students in Andhra Pradesh and Telangana between the age group of 11 to 17 and about 11 crores across India as per Ministry of Human Resource Department report "Population Projection in 6-23 years of age group".

E Learning Market

E-learning takes place through a network, usually over the Internet or a institutional intranet. E-learning evolved from the traditional computer-based training during early 90's, and is currently used in both the corporate and academic world.

DRIVERS OF THE E - LEARNING INDUSTRY

RIISING BROAD BAND PENETRATION

Internet is the heart and soul of successful development and implementation of e-learning programs. India is one of the largest countries in the world having wider broadband penetration. This helped in flourishing the e-learning industry in a significant manner.

PACE OF E-LEARNING ADOPTION BY SCHOOLS AND COLLEGES

In this decade, the penetration of e-learning in Indian schools and colleges has been phenomenal. Though, private schools outscore government schools in this aspect, continuous efforts are being devoted to infuse e-learning into Indian education system.

More and more private schools in India are switching over to the hybrid model of teaching. This model will be an ideal combination of conventional and online content to make the quality of education match global standards. In case of government schools, several PE/VC deals have been signed to improve the quality of education through e-learning.

GOVERNMENT INITIATIVES TOWARDS DIGITALIZATION

The strong Government initiatives pushing student enrolments in higher education , distance learning and digital India will keep propelling market expansion at an ever-increasing rate.

To popularize e-learning in government schools, central government and different state governments have formulated several innovative private-public partnership models. All these initiatives are driving the growth curve of Indian e-learning industry in an upward direction.

OPPORTUNITIES FOR E-LEARNING COMPANIES

E-LEARNING ALLIANCES

Publishers of content are entering into strategic alliances with learning portals by leveraging their distribution capabilities in order to reach a broader audience.

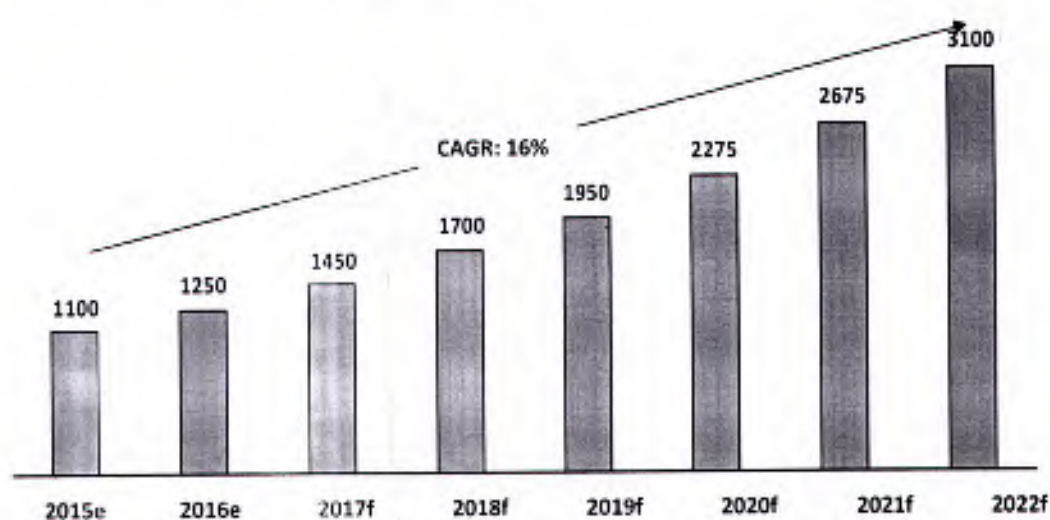
SURROUNDS SUPPORTING LEARNING SOLUTIONS

One of the hottest growth areas in online learning is the creation of supplemental materials online. An increasing number of educational institutions and corporations are utilizing online authoring and delivery systems to build surrounds supporting the learning process. This new learning model facilitates studying, note taking, class discussions, and "catching up", all of which enhance classroom instruction. Surrounds also help to overcome anxiety, reservations and build learner acceptance and familiarity with online learning. In our view, this step-by-step solution should make more learners willing to take pure Web-delivered classes, contributing to the rapid growth of the industry.

MARKET SIZE

The global E- Learning market is estimated to be about USD 107 bn. In India the market for E - learning sector is currently pegged at US\$ 1100 million, and is expected to touch US\$ 3100 million by 2022. The E Learning education market in India is expected to grow at a Compound Annual Growth Rate (CAGR) of around 16 per cent during 2015 to 2022.

Indian E-learning Market (Million US\$), 2015-2022



Source: RNCOS

K12 E LEARNING MARKET

E-learning or technology in learning has become a buzz in the education industry, and today it caters to the needs of modern-day learners. The primary to senior secondary e-learning market is anticipated to grow at a CAGR of 15% during 2015-2022. Infusing technologies in classroom learning have added to stimulus, and enhanced learner's interaction within the classroom. The role of e-learning is to supplement traditional classroom based education, by providing educational opportunities for those cases and people where traditional learning is not possible, either due to time and location constraints or due to cost constraints.

E-learning Market Catering to Schools (Million US\$), 2015-2022



PROJECTED SHARE OF THE TARGET MARKET SEGMENT BY WIKIKIDS LIMITED

The E Learning market for K12 segment in India is estimated to be about USD 350Mn equivalent to about INR 2340 Crores. The target market i.e K8-K12 is estimated to be about 1/3rd of Total K12 Market which is about INR 780 Crores. The revenues projected by Wikikids Limited in the first full year of operations i.e 2017-18 is INR.1.58 Crores which works out around 0.2% of the targeted opportunity.

COMPARITIVE ANALYSIS OF WIKI KIDS WITH A FEW OF OTHER ENTITIES OPERATING IN EDUCATION AND TRAINING SPACE.

The Prominent online Edutech players such as Ufaber, Byju's, Toppr, Extra Marks, Meratext Bazar are providing similar services.

Byjus "Think & Learn Private Limited" a Bangalore based education technology start-up company which has 1,20,000 paid users for its content has raised US\$ 75 million from US-based venture capital firm Sequoia Capital and Belgium-based investment firm Sofina, .

Toppr "Haygot Education Pvt Ltd" with 50,000 to 60,000 users could raise US\$ 2 Million in 2014 and around US\$ 10 Million in 2015. Toppr helps students prepare for competitive exams such as JEE and Medical exams. Toppr has developed content comprising over 45,000 questions.

Ufaber has raised Rs.2.66 Crores in phased manner from 2014 to 2016. The company aims to provide the online education and training services.

The above details are summarized in the following table:

Name of the Company	Year of Incorporation	Gross Revenue for the year 2014-15	Fund Raised	Securities Issued
Ufaber	2013-14	Not Known	2.66 Crores	3473 Equity Shares out of Total Equity shares of 13473
Byju's	30/11/2011	44.50 Crores	2013-USD 9 Million 2015 & 2016- USD 75 Million	515985 convertible preference shares in 2013 & 472761 convertible Preference shares in 2015
Toppr (Think and Learn)	02/04/2013	1.01 Crores	2014-USD 2 Million 2015-USD 10 Million	171678 convertible Preference shares in 2014 & 307851 convertible Preference shares in 2015

(Source : www.vccircle.com , www.yourstory.com , www.mca.gov.in)

SECTION V - INTEGRATION VIA AMALGAMATION

SCHEME OF AMALGAMATION

The Management of the Transferor and Transferee Companies are considering for amalgamation of the companies. The proposed amalgamation of WIKI KIDS LIMITED, ('Transferor Company') with AVANTEL LIMITED (Transferee Company) as envisaged in the Scheme, pursuant to Sections 391 to 394 and other relevant provisions of the Companies Act, 1956 and / or Sections 230 to 233 and other relevant provisions of the Companies Act, 2013, to the extent applicable, is driven by the motive of consolidation of businesses into one company to obtain the synergy benefits and other ancillary benefits.

OBJECTS & RATIONALE OF THE SCHEME OF AMALGAMATION

The integration, consolidation and amalgamation of the Transferor Company with the Transferee Company would *inter alia* have the following benefits:

- a) Avantel is in the business of design, develop and Manufacture of mobile satellite communication products, Defence Electronic Equipment as well as software products and services. Amalgamation of Wiki kids into Avantel will enable Avantel to directly foray into E-Learning services by leveraging its strength in software development.
- b) The amalgamation will enable Avantel to diversify into high growth and profitable areas of business without any gestation. It enables Avantel to improve steadiness of cash flows and to participate more vigorously and profitably in an increasingly competitive and liberalized market..
- c) The amalgamation would result in optimizing and leveraging existing resources and infrastructure of Avantel.
- d) The combined entity, would result in improved cash flows, increased net worth, better credit rating, and thereby strengthening the value of all the stakeholders of the Company.

In view of the above benefits, the managements of the Transferee & Transferor Companies proposed to amalgamate Wiki Kids Limited (Transferor Company) into Avantel Limited (Transferee Company) pursuant to a Scheme of Amalgamation.

DATE OF VALUATION AND EXCHANGE RATIO

The proposal of amalgamation of business of WIKI KIDS LIMITED, ('Transferor Company'), with the business of AVANTEL LIMITED (Transferee Company) has been considered with effect from April 1st 2016 (Hereinafter referred as "Appointed date").

In the process of Amalgamation, it is necessary to determine the value of shares of the Amalgamating entity & Amalgamated entity to ascertain the share exchange ratio.

For determining the share exchange ratio, we have carried out the valuation of equity shares on the basis of information available as on the appointed date i.e. April 1, 2016 and also the information available till the date of furnishing this report which has bearing on the valuation of equity shares of the company.

Hence, the relevant date of valuation and share exchange ratio is 1st April 2016, to reflect the fair valuation of the Equity Shares of transferor and transferee Company. To arrive at the fair value of equity shares of companies and to determine the share exchange ratio of the Equity Shares we have relied upon the facts and figures, market data and other information of the two companies as on appointed date of amalgamation i.e. 1st April 2016.

SECTION VI- STANDARD ON VALUATION & PREMISE OF VALUE

STANDARD OF VALUE

The standard of value used for determination of value is Fair Value. For this purpose, the term fair value as defined in FASB ASC Topic 820, *Fair Value measurement* and IFRS 13, *Fair Value measurement* has been considered. The term fair value has been defined by the above standards as "the price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date".

PREMISE OF VALUE

There are two main premises of value in a business valuation, Going-concern value and Liquidation value. The *International Glossary* defines premise of value as "an assumption regarding the most likely set of transactional circumstances that may be applicable to the subject valuation, e.g., going concern, liquidation. This premise is based on facts and circumstances existing on the valuation date. Going-concern value defined by The International Glossary as "the value of a business enterprise that is expected to continue to operate into the future". Hence, we have considered going concern premise and according to which the business enterprise will continue to carry its operations in future and it has no intention to stop its activities in the near future.

SECTION VII-SOURCES OF INFORMATION

The managements of the Transferor and Transferee Companies, assisted by their respective Key Managerial Personnel have furnished the required financial information, other relevant data, explanations about the business operations, performance and financial position of respective companies during the course of our assignment of valuation of equity shares of transferor and transferee company.

In the course of drawing up our opinion on valuation of equity shares and the exchange ratio between WIKI KIDS LIMITED, ('Transferor Company') and AVANTEL LIMITED (Transferee Company), we have relied upon the financial information and other documents provided to us by the respective managements. We have considered all the major corporate actions and latest market data after the appointed date till the date of furnishing of this report and the financial impact on the above actions have also been taken in to account, wherever found necessary.

To aid us in our analysis of the Company, we consulted publicly available sources of information. Numerous financial publications and databases were consulted including data and information from BSE, MCA, IBEF and Capitaline, VC Circle, Yourstory etc.

The sources of information, which have been furnished to us by the managements of the Companies are as under:

1. Background of the Company.
2. Memorandum of Articles and Articles of Association of the Company.
3. Audited Financial Statements of the Companies for the year ended March 2016, 2015, 2014, 2013.
4. Projected profitability statements, projected balance sheets of WIKI KIDS LIMITED for the years 2016-17 to 2020-21
5. Other relevant details such as history of the Company, its promoters, shareholding pattern etc.
6. Past & present activities, future plans & prospects, other relevant information of transferee and transferor companies.
7. India E-Learning Market Outlook to 2022 by RNCOS Industry Research Solutions, Noida

SECTION VIII-VALUATION METHODOLOGY & PRINCIPLE VALUATION METHODS

VALUATION METHODOLOGY

In order to perform the valuation as appropriate to the scope of work and to select and apply appropriate valuation approaches, methods and procedures, we have considered the following relevant factors:

- ❖ The history and nature of the business;
- ❖ The outlook of Economy and E-Learning Industry
- ❖ The Audited Financial statements of the transferor and transferee companies for last 3 years.
- ❖ The earning capacity of the companies;
- ❖ Projected profitability statements, projected balance sheets of M/s. Wiki Kids Limited for the years 2016-17 to 2020-21.

PRINCIPLE VALUATION METHODS

The following methodologies are normally used for valuation of companies:

- Net Assets Value Method- Intrinsic Value Method
- Net Assets Value Method-Book Value Method
- Profit Earning Capacity Value Method
- Discounted Cash Flow(DCF) Method
- Market Price Method
- Comparable Company Market (CCM) Multiple

SECTION IX- VALUATION OF COMPANIES

VALUATION OF EQUITY SHARES OF M/S AVANTEL LIMITED
TRANSFeree COMPANY

We have considered Market Price Method for the purpose of determining the Fair Value per Equity Share of **AVANTEL LIMITED (Transferee Company)** based on the following

- The Equity Shares of AVANTEL LIMITED are listed on Bombay Stock Exchange (BSE Code: 532406).
- M/s AvanteL Limited has significant competitive advantage in the defence sector due to its continuous efforts in research and development and significant technological competencies. These Intangible strengths provide AvanteL to gain a noteworthy market share in long term which will result in positive expectations about the earning capacity of the company by the investors in the market.
- Under Market Price Method, the valuation is done on the basis of share prices of a company quoted on the stock exchange as Quoted prices of the company on the stock exchange are considered to be indicative of the perception of investors operating under free market conditions and generally, common stocks are purchased in light of anticipated stock price appreciation, which, in turn, is strongly influenced by expectations about a company's cash flow capacity.

Under Market Price Method, We have analysed the trading transactions of the equity shares during last 6 months into the following 3 Patterns. The Daily, Weekly High & Low of share price along with their traded quantities have been considered in arriving the per share value.

For the purpose of determining the Fair Value per each Equity Share of **Transferee Company** under the **Market Price Method**, we have considered the **Higher of**

- (i) The average of the weekly high and low of the [volume weighted average price] of the equity shares quoted on the recognised stock exchange during the [twenty six weeks] preceding the valuation date.
- (ii) The average of the weekly high and low of the [volume weighted average prices] of the equity shares quoted on a recognised stock exchange during the two weeks preceding the valuation date.

The workings of fair value are presented here under.

Computation of Fair value of Equity Shares of AVANTEL LIMITED (Transferee Company)

Sl	Method	Price Per Share (In Rs.)
A	Average of 26 weeks High Low of the VWAP	123.98
B	Average of 2 weeks High Low of the VWAP	115.30
C	Applicable Maximum of Price [Higher of A or B]	123.98

As per the above computation, in our opinion for the purpose of determining the share exchange ratio, the fair value of Rs. 123.98/- per equity share of AVANTEL LIMITED (Transferee Company) can be considered as appropriate. The detailed workings of market price method are given in **Appendix B** to this Report.

VALUATION OF EQUITY SHARES OF M/S WIKI KIDS LIMITED TRANSFEROR COMPANY

Wiki Kids Limited has developed its E – Learning portal for K-8 to K-12 Segment called “Wonderwhiz Kids” and the portal is poised to commence its commercial operations shortly to generate revenues and cash flows from student subscriptions and institute subscriptions. Since, the company is expecting the future revenues and cash flows, we considered to apply Discounted Cash flow method (DCF) as appropriate method for valuation of the business and equity shares of Wiki Kids Limited.

The DCF method expresses the present value of the business as a function of its future cash earnings capacity. This methodology works on the premise that the value of a business is measured in terms of future cash flow streams, discounted to the present time at an appropriate discount rate. The valuation under the DCF method depends upon the projections of the future cash flows and the selection of the appropriate discount factor. The DCF methodology is considered to be the most appropriate basis for determining the future earning capability of a business.

Calculation of value under the DCF method involves estimation of future cash flows for explicit period, estimation of continuation value and discounting of cash flows using appropriate discounting factor.

$$\text{Value of the Business} = \sum_{t=1}^{t=n} \frac{\text{Expected cash flow}}{(1+r)^t} + \frac{\text{Terminal value}}{(1+r)^n}$$

ESTIMATION OF FREE CASH FLOWS

As indicated above, the future benefit, on which financial analysts and business valuer's most frequently focus, is “net cash flow”, which is computed as follows:

65

	Net income	XXXX
Add:	Non-cash charges	XXXX
Less:	Non – operating Income	XXXX
Less:	Expenditure incurred on / for capital projects / capital purposes	XXXX
Add/Less:	Changes in working capital	XXXX
Add/Less:	Changes in the balance of Long-term debt	XXXX
	Net cash inflow / (outflow)	<u>XXXX</u>

In the light of the above, we developed an indication of the value based on a forecast of the Company's net cash flows. This forecast is made to reflect the probable net cash flows for the next five years.

ESTIMATION OF CONTINUATION VALUE

Under the going concern premise the cash flows are expected to be derived by the business entity beyond explicit period and will grow at constant rate forever. Based on the premise the terminal (continuation) value of the business can be estimated as

$$TV = \frac{FCFE_{t+1}}{(ke-g)}$$

Where, $FCFE_{t+1}$ refers to free cash flow for the last year of the projected period.

Ke = cost of equity and g = expected growth rate

If the equity is being valued the terminal value of equity can be arrived by

$$\text{Terminal value} = \frac{\text{Cash flow to the Equity}_{t+1}}{Ke-g}$$

ESTIMATION OF DISCOUNTING RATE (KE)

The cost of equity in turn is determined using the MCAPM model i.e. Modified Capital Asset Pricing Model. The formula for calculating cost of equity under this model is:

$$Ke = K_{rf} + \beta (K_m - K_{rf}) + a$$

Where

- K_e = expected rate of return on equity
- K_{rf} = risk free rate on bonds
- K_m = expected rate of return on the market
- $K_m - K_{rf}$ = equity risk premium
- β = coefficient of firms' systematic risk
- a = additional risk premium

In the case of closely held company, additional risk premium shall be considered in respect of liquidity risk, small size premium and other business risk specifically applicable to the small private companies.

As stated above, we have performed the valuation of the **Wiki Kids Limited (Transferor Company)**, under Discounted cash flows Method.

The value of Wiki Kids Limited under DCF Method is **Rs.501.80 Lakhs** which is depicted below and the projected financial statements along with evaluation of underlying assumptions are given as exhibits in **Appendix C** to this report.

Computation of Value of Equity Shares of Wiki Kids Limited under DCF approach:

Particulars	Amount in INR
NPV of Explicit Period	93.99
Present Value of Perpetuity	407.80
Equity Value of Wiki Kids Limited	501.80
No of Equity Shares	11.70
Value per Equity Share	42.89

As per the above computations, in our opinion for the purpose of determining the share exchange ratio, the fair value of **Rs.42.89/-** per each equity share of **WIKI KIDS LIMITED (Transferor Company)** can be considered as appropriate.

Step-1 NPV of Cash Flows for Explicit Period:

PARTICULARS	Amount (Rs.)				
	31/Mar/17	31/Mar/18	31/Mar/19	31/Mar/20	31/Mar/21
Free Cash Flows	-0.30	8.46	7.99	22.19	167.71
Discount rate (Ke)	18.39%	18.39%	18.39%	18.39%	18.39%
Discounting factor $[1/(1+Ke)^n]$	0.84	0.71	0.60	0.51	0.43
Discounted Cash Flows	-0.25	6.04	4.81	11.30	72.10
Total			93.99		

Step-2 Computation of Terminal value/ Perpetual Value:

Particulars	Rs.in lakhs
	Amount
PAT of 2020-21	166.42
Growth Rate (g)	7.0%
PAT for perpetuity	178.07
Increase in Net working capital	-
Net Capital Expenditure	70.00
Free Cash Flows for Perpetuity [FCFE ¹]	108.07
Capitalized Value for Perpetuity [FCFE¹/(Ke-g)]	948.57
Total Capitalized Value	948.57
Discounting Factor	0.43
Present Value of Perpetuity	407.80

Note 1: Growth Rate (g) for Terminal Period

While estimating the terminal value, the estimated growth rate of the business shall be reduced from the cost of equity (Ke) due to the fact that the future growth will offset the risk involved the projected future cash flows. For estimating growth rate of the company at the end of explicit forecast period, various factors such as investment plans, return on capital employed, growth in industry and economy are considered.

Based on Economic and Industry Analysis, we estimated the growth rate of Wiki Kids Limited for terminal period at 7% which is a conservative estimate vis.a.vis growth rate of the Indian Economy.

Note 2: Cost of Equity (Ke)

Cost of Equity is calculated by applying Modified Capital Asset Pricing Method (MCAPM)

As per MCAPM Cost of Equity (Ke) = $R_f + \beta(R_m - R_f) + AR$

Risk free Rate (Rf)

Since DCF valuation based upon a long term investing horizon the appropriate Risk free rate shall be represented by long term government security. The most appropriate proxy for this rate is yield to maturity of a 10 year Indian Government Bond.

The 10 year Indian Government Bond Yield to Maturity (YTM) as on 1st April 2016 i.e. 7.463% (Source: www.investing.com) is considered as risk free rate for valuation.

Beta(β)

Beta is a measure of the volatility, or systematic risk, of a security or a portfolio in comparison to the market as a whole. Under Capital Asset Pricing Model (CAPM) the expected return of an asset is estimated on the basis of its Beta and market premium. The average unlevered industry Beta(β) of Education Industry has been considered as proxy beta for Wiki Kids Limited which is 0.80. (Source: damodaran.com)

Market Return (Rm)

Market Return (Rm) has been calculated considering the CAGR (Compounded Annual Growth Rate) of BSE Sensex from 1979 to March 31st, 2016. Market rate of return of BSE Sensex as per CAGR is 16.12%

Therefore, Cost of equity (Ke) before additional premium = $R_f + \beta(R_m - R_f) = 7.463 + 0.80(16.12 - 7.463) = 14.39\%$

Since, Wiki Kids Limited is closely held company, we have considered to add 4% to account for additional risk specific to Wiki Kids Limited to obtain the Ke as per MCAPM approach.

Hence, Cost of Equity of Wiki Kids Limited as per MCAPM = $14.39\% + 4\% = 18.39\%$

SECTION X - SHARE EXCHANGE RATIO

Particulars	AVANTEL LIMITED (Transferee Company)	WIKI KIDS LIMITED (Transferor Company')
Fair Value as per Market Price Method (per share in Rs.)	123.98	-
Fair Value as per DCF Method (per share in Rs.)	-	42.89
Share Exchange Ratio	1	2.89

On the basis of the aforesaid computations, the share exchange ratio between WIKI KIDS LIMITED, ('Transferor Company'), and AVANTEL LIMITED (Transferee Company) for proposed amalgamation is arrived at **2.89:1** i.e. AVANTEL LIMITED shall issue one equity share for every **2.89** Equity Shares held in WIKI KIDS LIMITED.

SECTION XI- DISCLAIMER

This Valuation Report has been issued on the specific request of AVANTEL LIMITED and for the specific purpose of the proposed amalgamation of WIKI KIDS LIMITED, ('Transferor Company') with AVANTEL LIMITED (Transferee Company). The Principal Valuer / Appraiser Mr. Nekkanti Srinivasu, FCA is a fellow member of Institute of Chartered Accountants of India. He was qualified in the year 1999 and established his firm M/s. Nekkanti Srinivasu & Co., Chartered Accountants on 06/10/1999. Mr.Srinivasu has more than 16 years of professional experience as practicing Chartered Accountant and is eligible for valuation of equity shares and other securities as required under Companies Act, 2013.

In the course of forming our opinion, we have relied upon the financials and other documents, which have been provided to us by the managements of the respective companies. We do not assume any responsibility for the accuracy or reliability of such documents on which we have relied upon in forming our opinion.

Although every effort has been made by us to verify and corroborate each document and to ensure that no inaccurate or misleading data, information or statement appears in this document, we wish to make it clear that the information and data appearing herein are the responsibility of the management. Accordingly, we do not accept any responsibility whatsoever for the consequences of any such inaccurate or misleading information or data, or statement. We are not liable for any direct, indirect, incidental, consequential or punitive damages arising out of information through any one's success to this document or use of the information and statements contained herein.

We specifically disclaim any and all liability arising from any of the contents of this Report of ours, including but not limited to, reliance placed by any person on any content of this report.

For Nekkanti Srinivasu & Co.,

Chartered Accountants

FRN.NO. 008801S



Nekkanti Srinivasu

Partner

M.No.209453

Date : 22/08/2016

Place: Hyderabad

APPENDIX - A

Statement of Assumptions and Limiting Conditions

The primary assumptions and limiting conditions pertaining to the estimate conclusion(s) stated in the detailed Valuation report are summarized below. Other assumptions are cited elsewhere in the report.

- 1) The conclusion arrived at herein is valid only for the stated purpose as of the date of the valuation (i.e. April 1, 2016).
- 2) The valuation report date is 22/08/2016.
- 3) Our compensation for completing this assignment is fee-based and is not contingent upon the development or reporting of a predetermined or direction in that favors the cause of the client, the outcome of the valuation, the amount of the opinion, the attainment of a stipulated result, or the occurrence of a subsequent event directly related to the intended use of this appraisal.
- 4) We have performed a valuation engagement and present our detailed report in conformity with the **"Business Valuation Practice Standard" (BVPS)** issued by the **Institute of Chartered Accountants of India (ICAI)**. BVPS sets out that the objective of a valuation engagement is "to express an unambiguous opinion as to the of a business, business ownership interest, security or intangible asset which opinion is supported by all procedures that the appraiser deems to be relevant to the valuation." Also according to the Standard in a valuation engagement the valuer can apply valuation approaches or methods deemed in the analyst's professional judgment to be appropriate under the circumstances. In a valuation engagement the conclusion is expressed as either a single amount or a range.
- 5) The valuation of the business is based on various assumptions made by the respective companies relating to the operations of their businesses. Any change in these assumptions could have an impact on their valuation.
- 6) We have not made an appraisal or independent valuation of any of the assets or liabilities of any of the Companies and have not conducted an audit or due diligence.
- 7) Financial statements and other related information provided by WIKI KIDS LIMITED (Transferor Company), AVANTEL LIMITED (Transferee Company) or their representatives, in the course of this engagement, have been accepted without any

verification as fully and correctly reflecting the enterprise's business conditions and operating results for the respective periods, except as specifically noted herein. We have not audited, reviewed, or compiled the financial information provided to us and accordingly, we express no audit opinion or any other form of assurance on this information.

- 8) Public information and industry & statistical information have been obtained from the sources we believe to be reliable. However, we make no representation as to the accuracy or completeness of such information and have performed no procedures to corroborate the information.
- 9) We do not provide assurance on the achievability of the results forecasted by Transferor Company and Transferee Company because events and circumstances frequently do not occur as expected, differences between actual and expected results may be material, and achievement of the forecasted results is dependent on actions, plans, and strategies of management.
- 10) The conclusion arrived at in the valuation report is based on the assumption that the current level of management expertise and effectiveness would continue to be maintained and that the character and integrity of the enterprise through any sale, reorganization, exchange, or diminution of the owners' participation would not be materially or significantly changed.

The valuation report and the conclusion arrived at therein are for the exclusive use of our client for the sole and specific purposes as noted therein. They may not be used for any other purpose or by any other party for any purpose. Furthermore, the valuation report and conclusion should not be construed by the reader of report to be an investment advice in any manner what so ever. The conclusion represents the considered opinion of us based on information furnished to us by **AVANTEL LIMITED** (Transferee Company), **WIKI KIDS LIMIED** (Transferor Company).

- 11) Future services regarding the subject matter of this report, including but not limited to testimony or attendance in court, shall not be required of **Nekkanti Srinivasu & Co.**, Chartered Accountants unless previous arrangements have been made in writing.
- 12) The prospective financial information approved by management has been used in our work, we have not examined or compiled the prospective financial information and therefore do not express an audit opinion or any other form of assurance on the prospective financial information or the related assumptions. Events and circumstances frequently do not occur as expected and there will be usually differences between prospective financial information

and actual results, and those differences may be material.

- 13) We have conducted interviews with the current managements of **AVANTEL LIMITED** (Transferee Company), **WIKI KIDS LIMIED** (Transferor Company), concerning the past, present, and prospective operating results of the respective companies in the process of validation of information and assumptions made in respect of the financial information provided to us.
- 14) Except as noted, we have relied on the representations of the owners, management and other third parties concerning the value and useful condition of all equipment's, intangibles, intellectual properties used in the business, and any other assets or liabilities, except as specifically stated to the contrary in this report. We have not attempted to confirm whether all assets of the business are free and clear of liens and encumbrances or that the entity has good title to all assets.
- 15) The approaches and methodologies used in our work did not comprise an examination in accordance with generally accepted accounting principles, the objective of which is an expression of an opinion regarding the fair presentation of financial statements or other financial information, whether historical or prospective, presented in accordance with generally accepted accounting principles. We express no opinion and accept no responsibility for the accuracy and completeness of the financial information or other data provided to us by others. We assume that the financial and other information provided to us is accurate and complete, and we have relied on this information in performing our valuation.
- 16) The valuation may not be used in conjunction with any other consideration or study. The conclusions stated in the valuation report are based on the program of utilization described in the report and may not be separated into parts. The report was prepared solely for the purpose, function, and party so identified in the report.
- 17) Unless otherwise stated in the report, the valuation of the business is not considered or incorporated the potential economic gain or loss resulting from contingent assets, liabilities, or events existing as of the valuation date.
- 18) During the course of the valuation, we have considered information provided by respective company's managements and other parties. We believe these sources to be reliable, but no further responsibility is assumed for their accuracy.
- 19) Any projections of future events described in this report represent the general expectancy

concerning such events as on the valuation date. These future events may or may not occur as anticipated, and actual operating results may vary from those described in our report.

- 20) We have no responsibility or obligation to update this report for events or circumstances occurring subsequent to the date of this report.
- 21) Our valuation judgment, shown herein, pertains only to the subject business the stated Approach (fair), at the stated valuation date, and only for the stated purpose.
- 22) The various estimates of presented in this report apply to the valuation report only and may not be used out of the context presented herein.
- 23) Our report will not be used for financing or included in a private placement or other public documents and may not be relied upon by any third parties.
- 24) The report assumes all required licenses, certificates of occupancy, consents, or legislative or administrative authority from any local, state, or national government or private entity or organization have been or can be obtained or reviewed for any use on which the opinion contained in the report is based.
- 25) I (We) have no financial interest or contemplated financial interest in the companies that are the subject of this report.

For NEKKANTI SRINIVASU & Co.,

Chartered Accountants

FRN.No. 008801S



NEKKANTI SRINIVASU

Partner

M.No.209453

Date :22/08/2016

Place: Hyderabad

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APPENDIX B

A) The average of the weekly high and low of the [volume weighted average price] of Equity Shares of Avantel Limited during the [twenty six weeks] preceding the valuation date.

Weeks	From	To	Volume Weighted Avg Price High (WAP)	Volume Weighted Avg Price Low (WAP)	Average
1	2-Oct-15	8-Oct-15	87.46	82.89	85.17
2	9-Oct-15	15-Oct-15	110.79	100.03	105.41
3	16-Oct-15	22-Oct-15	101.75	98.87	100.31
4	23-Oct-15	29-Oct-15	99.46	91.90	95.68
5	30-Oct-15	5-Nov-15	114.13	94.56	104.34
6	6-Nov-15	12-Nov-15	133.29	126.17	129.73
7	13-Nov-15	19-Nov-15	128.02	114.28	121.15
8	20-Nov-15	26-Nov-15	157.85	125.38	141.62
9	27-Nov-15	3-Dec-15	165.09	146.73	155.91
10	4-Dec-15	10-Dec-15	159.01	146.21	152.61
11	11-Dec-15	17-Dec-15	148.26	144.68	146.47
12	18-Dec-15	24-Dec-15	151.80	138.65	145.23
13	25-Dec-15	31-Dec-15	159.75	152.87	156.31
14	1-Jan-16	7-Jan-16	159.75	147.11	153.43
15	8-Jan-16	14-Jan-16	150.50	131.32	140.91
16	15-Jan-16	21-Jan-16	133.02	119.96	126.49
17	22-Jan-16	28-Jan-16	138.40	132.18	135.29
18	29-Jan-16	4-Feb-16	147.20	132.43	139.81
19	5-Feb-16	11-Feb-16	132.00	108.78	120.39
20	12-Feb-16	18-Feb-16	109.63	105.44	107.53
21	19-Feb-16	25-Feb-16	110.43	101.90	106.17
22	26-Feb-16	3-Mar-16	114.65	96.94	105.79
23	4-Mar-16	10-Mar-16	110.15	107.32	108.73
24	11-Mar-16	17-Mar-16	109.65	107.16	108.41
25	18-Mar-16	24-Mar-16	111.97	106.76	109.37
26	25-Mar-16	31-Mar-16	125.99	116.45	121.22
Total					3223.48
Value of Equity Share Price of Avantel Limited (Average of 26 weeks)					123.98

B) The average of the weekly high and low of the 129[volume weighted average prices] of t equity shares of Avantel Limited during the two weeks preceding the Valuation date:

Sl No.	Week Start	Week End	High	Low	Average Price
1	2	3	4	5	6= (4+5)/2
A	18-Mar-16	24-Mar-16	111.97	106.76	109.37
B	25-Mar-16	31-Mar-16	125.99	116.45	121.22
Total					230.59
Value of Equity Share Price of Avantel Limited (Average of 2 weeks)					115.30

(11)

APPENDIX C

**WIKI KIDS LIMITED
PROJECTED BALANCE SHEET**

Period				1	2	3	4	5
Start Period	1/Apr/13	1/Apr/14	1/Apr/15	1/Apr/16	1/Apr/17	1/Apr/18	1/Apr/19	1/Apr/20
End Period	1/Apr/14	31/Mar/15	31/Mar/16	31/Mar/17	31/Mar/18	31/Mar/19	31/Mar/20	31/Mar/21
Number of Days in a Year	366	365	366	365	365	365	366	365
	<u>Actuals</u>	<u>Audited</u>	<u>Audited</u>	<u>Estimated</u>	<u>Projected</u>			
Equity and Liabilities								
Shareholders' Funds								
Share capital	75.50	117.00	117.00	117.00	117.00	117.00	117.00	117.00
Security Premium								
Reserves and Surplus								
				-37.64	-81.17	-61.99	24.05	190.47
Borrowings								
Long Term Borrowings								
Deferred Tax Liability				30.00	60.00	60.00	-	-
Total	75.50	117.00	117.00	109.36	95.83	115.01	141.05	307.47
Assets								
Fixed assets (Gross Block)								
Less: Depreciation				19.30	26.80	54.80	87.50	125.00
Net block				1.73	7.04	19.72	40.54	70.94
				17.57	19.76	35.08	46.96	54.06
Intangible Assets(Gross Block)								
Less: Amortisation				94.68	94.68	119.68	144.68	184.68
Net Block				9.34	28.27	52.21	81.15	118.08
Total				85.34	66.40	67.47	63.53	66.60
Other Assets				102.91	86.17	102.55	110.49	120.66
Capital - Work - in - Progress								
Less: Amortisation				-	-	-	-	-
Net Block				-	-	-	-	-
Non Current Investments				-	-	-	-	-
Other Non Current Assets				-	-	-	-	-
Preliminary Expenses not written off	2.70	2.70	2.70	2.16	1.62	1.08	0.54	-
Capital - Work - in - Progress	72.32	81.75	94.68	-	-	-	-	-
Deposits				-	-	-	-	-

Valuation Report for Amalgamation**Current Assets, Loans and Advances**

Cash and cash equivalents	0.95	32.87	1.74	1.44	9.90	17.88	40.08	207.79
Inventories				-	-	-	-	-
Trade Receivables								
Other Current assets	0.28	0.28	18.02	5.00	5.25	5.51	5.79	6.08
Mat Credit Entitlement				-	-	3.65	3.65	-
	1.23	33.15	19.76	6.44	15.15	27.05	49.52	213.87
Less:								
Current Liabilities and Provisions								
Trade Payables				-	-	-	-	-
Short term Borrowings				-	-	-	-	-
Short term Provisions				-	-	3.65	-	-
Other Current Liabilities	0.75	0.60	0.14	2.14	7.10	12.01	19.50	27.05
	0.75	0.60	0.14	2.14	7.10	15.67	19.50	27.05
Net Current Assets	0.48	32.55	19.62	4.30	8.05	11.38	30.02	186.81
Total	75.50	117.00	117.00	-	109.36	95.83	115.01	307.47

Valuation Report for Amalgamation

**WIKI KIDS LIMITED
PROJECTED PROFITABILITY STATEMENT**

PROJECTED PROFITABILITY STATEMENT		1	2	3	4	5
Period		1/Apr/16	1/Apr/17	1/Apr/18	1/Apr/19	1/Apr/20
Start Period	1/Apr/14	1/Apr/15	31/Mar/17	31/Mar/18	31/Mar/19	31/Mar/20
End Period	31/Mar/15	31/Mar/16	31/Mar/17	31/Mar/18	31/Mar/19	31/Mar/20
Number of Days in a Year			365	365	365	366
	Audited	Audited	Estimated	Projected		
Revenue	A. Turnover	-	15.00	67.50	112.50	150.00
	Revenue from Institute subscription	-	55.56%	42.86%	31.91%	23.81%
	% of total revenue	0.00%	12.00	90.00	240.00	480.00
	Revenue from Student subscription - online	-	44.44%	57.14%	68.09%	76.19%
	% of total revenue	0.00%	-	-	-	-
	Revenue from Student subscription - Devices	-	0.00%	0.00%	0.00%	0.00%
	% of total revenue	0.00%	-	-	-	-
	Revenue from App	-	0.00%	0.00%	0.00%	0.00%
	% of total revenue	0.00%	-	-	-	-
	Other Income	-	0.00%	0.00%	0.00%	0.00%
Expenses	% of total revenue	0.00%	27.00	157.50	352.50	630.00
	Revenue	-	100.0%	82.9%	55.3%	44.0%
	Y-o-Y growth in revenue	0.0%				
	Expenditure					
	Commission and Incentives	0.00%	0.00%	0.00%	0.00%	0.00%
	% of total Expenses		-	-	-	-
	Marketing Expenses	-	14.70	41.64	70.36	138.71
	% of total Expenses	0.00%	28.56%	24.42%	24.40%	29.64%
	Employee benefits expense	-	31.50	115.58	200.24	306.86
	% of total Expenses	0.00%	61.21%	67.80%	69.46%	65.57%
Operating Expenses	-	4.50	12.12	16.34	20.81	
% of total Expenses	0.00%	8.74%	7.11%	5.67%	4.45%	
Other Operating and Admin Expenses	-	0.23	0.61	0.82	1.04	
% of total Expenses		0.44%	0.36%	0.28%	0.22%	
Preliminary Expenses written off		0.54	0.54	0.54	0.54	
% of total Expenses		0.00	0.00	0.00	0.00	

Valuation Report for Amalgamation

<i>Taxes</i>							
Expenditure	-	-	51.47	170.49	288.30	467.97	649.29
EBITDA	-	-	-24.47	-12.99	64.20	162.03	325.71
% of EBITDA			-91%	-8%	18%	26%	33%
Depreciation & Amortization			11.07	24.24	36.62	49.76	67.34
Finance Cost			2.10	6.30	8.40	4.20	-
Earnings Before Taxation - Operations	-	-	-37.64	-43.53	19.18	108.07	258.37
Income tax	-	-	-	-	3.65	22.04	91.96
MAT Credit Entitlement			-	-	-3.65	-	-
Deferred Tax			-	-	-	-	-
Profit after Taxation	-	-	-37.64	-43.53	19.18	86.04	166.42
Carried to Balance Sheet	-	-	-37.64	-43.53	19.18	86.04	166.42



Evaluation of assumptions of Projected Profitability Statements & Projected Balance Sheet

Revenue Assumptions:

WIKI KIDS LIMITED					
Period	1	2	3	4	5
Start Period	1/Apr/16	1/Apr/17	1/Apr/18	1/Apr/19	1/Apr/20
End Period	31/Mar/17	31/Mar/18	31/Mar/19	31/Mar/20	31/Mar/21
Number of Days in a Year	365	365	365	366	365
	3 Months				
Revenue Assumptions					
Institute subscription	10.00 Nos	45.00 Nos	75.00 Nos	100.00 Nos	150.00 Nos
Student subscription - online	400.00 Nos	3000.00 Nos	8000.00 Nos	16000.00 Nos	25000.00 Nos
Price: Institute subscription	Rs.150000.00	Rs.150000.00	Rs.150000.00	Rs.150000.00	Rs.150000.00
Price: Student subscription - online -	Rs.3000.00	Rs.3000.00	Rs.3000.00	Rs.3000.00	Rs.3000.00
Revenue: Institute subscription	Rs.15.00	Rs.67.50	Rs.112.50	Rs.150.00	Rs.225.00
Revenue: Student subscription - online	Rs.12.00	Rs.90.00	Rs.240.00	Rs.480.00	Rs.750.00

Comment/observation:

- According to the management the commercial operation will start from 4th Quarter of 2016-17.
- Around 14 Lakhs students appear for IIT JEE and 8 Lakh students for Medical Entrance exam every year. (Source : www.yourstory.com)
- There are about 3000 higher education institutions in Andhra Pradesh and Telangana (Source www.ap.gov.in)
- Byju's and Toppr the other prominent entities in the sectors have user base of 1,20,000 and 60,000 (approx.) respectively. (Source : Economic times & www.yourstory.com)

Considering the above, the 45 institute subscription and 3000 student subscription forecasted out of 250 - 260 Million Students by Wiki Kids Limited in the 1st Full year of operations and 150 and 25,000 subscriptions in the 5th Year considered to be reasonable.

The gross subscription Price of Rs.6,000 and Net realizable price of Rs.3,000 (after Discounts and taxes) is considered to be reasonable when compared to other prominent players in the sector based on the following information

Company	Course	Price (In Rs.)	Period
Ufaber	Physics, Chemistry, Mathematics Class 11	15,000 (5,000 Per Subject)	Annual
	Physics, Chemistry, Mathematics Class 12	15,000 (5,000 Per Subject)	Annual
Byju's	Physics, Chemistry, Mathematics Class 11 (Preloaded on SD card)	20,000 (Full Package)	Annual
	Physics, Chemistry, Mathematics Class 12 (Preloaded on SD card)	30,000 (Full Package)	Annual
Topper	JEE Main	12,000 (Full Package)	Annual
	JEE Advanced	12,000 (Full Package)	Annual
Wiki Kids	Physics, Chemistry, Mathematics	6,000 (Full Package - Proposed)	Annual

(Source : <https://ufaber.com>, byjus.com, www.topperlearning.com)

Expenses:

1) Manpower

Sl No	Man power Assumptions	Amount (Per Month)
1	Digital Marketing executives	25000.00
2	Sales executives	25000.00
3	Sales support	15000.00
4	App support staff	15000.00
5	Junior Developer	25000.00
6	Senior Developer	60000.00
7	Accountants	20000.00
8	Accounts Manager	40000.00
9	Content Developers	50000.00
10	Manager salary	100000.00

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Valuation Report for Amalgamation

Comment/ Observation

The monthly man power expenses are considered to be reasonable

2) Marketing Cost

(In Rupee's Per Month)

Sl. No	Marketing Cost:	2017	2018	2019	2020	2021
1	Advertising & Promotion	100000.00	150000.00	250000.00	500000.00	700000.00
2	Flyers & Brochures	15000.00	20000.00	30000.00	40000.00	50000.00
3	Sales travel allowance	100000.00	144000.00	270000.00	576000.00	760000.00
4	Portal Maintenance Charges	30000.00	33000.00	36300.00	39930.00	43923.00

The marketing expenses and other travelling expenses are considered to be appropriate to compete in the market and to reach the assumed subscribers.

3) Admin Cost

(In Rupee's Per Month)

Sl. No	Admin cost Assumptions	2017	2018	2019	2020	2021
1	Rent, Rates & Taxes	30000.00	50000.00	75000.00	100000.00	120000.00
2	Internet & Communication	30000.00	33000.00	39600.00	47520.00	57024.00
3	Office Maintenance & Admin Overheads	15000.00	18000.00	21600.00	25920.00	31104.00

Administration expenses are considered to be reasonable to the size of the operations of the establishment.

4) Depreciation

Depreciation on all the fixed assets has been provided as per Straight Line Method (SLM) on the basis of useful lives estimated by the management and in accordance with guidelines specified in schedule II of the Companies Act, 2013. The Content development & Licenses have been depreciated @ 20% on SLM basis. The Depreciation rate and useful life is as follows:

S. No.	Item	Useful Lives	Rates as per SLM
1	Computers	3 Years	31.67%
2	Furniture and fixtures	10 Years	9.50%
3	Office Equipments	5 Years	19.00%

Depreciation on all the fixed assets for the purpose of Income Tax Act, 1961 has been provided under WDV Rates provided therein. The rates are as follows

S. No.	Item	Rates as per WDV
1	Computers	60%
2	Furniture and fixtures	10%
3	Office Equipments	10%
4	Content Development & Licences	25%

5) Taxes on Income

The provision for taxation is ascertained on the basis of assessable profits computed in accordance with the provisions of the Income-tax Act, 1961.

6) Un-secured Loan Requirement, Disbursement & Payment.

Cash losses/ deficit will be met out the unsecured loans from Directors and their relatives. The peak level outstanding un-secured loan is Rs.60 Lakhs is considered reasonable and an interest of 14% on the same is line with Bank interest. The repayment of the debt will be made out of the surplus cash available in the future years.

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Thank you

